

many of the apps in India in terms of how transparent we are with user privacy,” says Jhunjhunwala.

By introducing the Call Reason option—its most requested feature in 2020—that helps users send a note with their outgoing calls along with features like bill reminders, inbox cleaner and an SMS organiser, Truecaller wants to pivot to a more active-usage app rather than being a predominantly ‘background app’. “Caller ID and spam detection are passive ‘install and forget’ kind of features. Five or six years ago we realised that we need to become more of an active app. And we need to make the inside of the app a lot more useful. That’s why we added dialler capabilities and introduced messaging where all SMSes are decluttered,” says Jhunjhunwala.

Following the acquisition of Israel-based start-up CallHero in January 2022, Truecaller is now working on an AI-enabled assistance service which will have the ability to answer, filter and manage calls on the user’s behalf. Jhunjhunwala, however, doesn’t like to refer to this pivot as ‘de-risking’. “These moves are not in reaction to anything. Our vision is to make communication more efficient,” he adds.

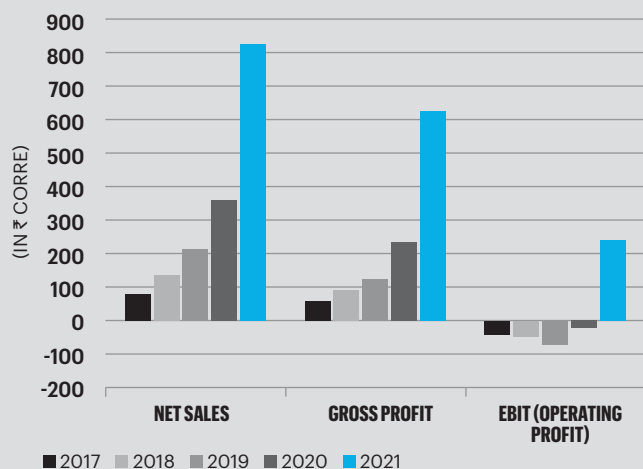
In 2017, the company also launched a Unified Payments Interface (UPI) service called Truecaller Pay, which at its peak in mid-2020, had close to 20 million registered users. It also offered services like bill payments through its banking partners like ICI-CI Bank and Bank of Baroda. Mired in controversy, it had to discontinue the UPI service last year, but more on that later.

MAKING IT RAIN

Last year, Truecaller’s total revenue stood at SEK 1.12 billion (roughly ₹818 crore per the exchange rate on October 10, 2022), of which India contributed SEK 787 million (around ₹575 crore), which works out to almost 70 per cent of the company’s total revenue, per the company’s consolidated financial report for CY21 filed with Nasdaq Stockholm. Furthermore, per the company’s Indian subsidiary’s financial statement filed with the Registrar of Companies (RoC), its India operations reported annual revenues of just ₹130 crore in FY21. Which means that there’s a gap of around ₹400 crore in the company’s revenues reported in India versus its India figures reported in Sweden despite the fact that Sweden follows a calendar year reporting format and Indian companies

DECRYPTING SIGNALS

Truecaller posted positive operating profit for the first time in 2021



SOURCE TRUECALLER'S SWEDEN-LISTED ENTITY'S FINANCIAL REPORT FOR CY21; FIGURES AS PER THE EXCHANGE RATE ON OCT 10, 2022

follow the financial year timeline. When quizzed about it, the company’s spokesperson said, “The annual report figures are the official numbers used by us as a listed company. However, you pose a valid question about the difference in figures. The reason for this difference in the annual reports is due to the accounting treatment/rules when consolidating the figures from different subsidiaries in the group.”

While globally, the company reported a profit of SEK 856 million (roughly ₹625 crore) in CY21, its Indian subsidiary, Truecaller International Limited Liability Partnership, reported a loss of ₹11 crore in FY21. “We have been profitable for many years now. Philosophically, we wanted to be the company that makes money from very transparent sources. We have ads, premium subscriptions and Truecaller for Business,” says Jhunjhunwala. We wanted to stay profitable, he adds, so that our users don’t think that “these guys are one day going to get desperate and sell our data”.

Recently, the company’s stocks crashed after US-based investigative financial research group Viceroy Research said in a report that global privacy and data protection laws would soon make Truecaller’s business model redundant. It also suggested that the company is “skirting regulations” and/or avoiding taxes through “uncreative loopholes”, which will inevitably be cut off. The Viceroy report